WACE Accounting and Finance ATAR · Cheat Sheet (Patterns + Notes)

General rules: Show every working line by line; a bare final figure loses most marks · Put units and direction on every figure (favourable or unfavourable, debit or credit, cents or dollars) · Round only at the end, to the places asked; ratios to two decimal places · Refer to the stimulus company, figures and names in every explanation; general facts earn little · Use course terms exactly (accrual, carrying amount, net present value) · Spell out abbreviations at first use · Formula layouts and conventions are set in the 2026 specifications booklet; check it for exact presentation · GST is excluded from Unit 4 cash-flow work and ratio calculations · Source conflict: the 2027 minor-changes summary renames the one-statement "Statement of Comprehensive Income" to a longer profit-or-loss-and-other-comprehensive-income title, but the 2027 main syllabus still prints the old name; confirm with the Authority before relying on either.

1 Finance products and asset management (FIN)

① Classify each source by term, security and ownership. Short-term: money-market products, cash management accounts, bank overdraft, supplier credit. Long-term: ordinary shares, debentures, term loans (secured or unsecured). Term deposits are short or long depending on their term. Ownership: shares are equity; loans and debentures are debt. Secured means the lender holds a claim over assets; unsecured means it does not.

② Match the source to the need: non-current asset purchases are funded long-term; working-capital gaps and short surpluses point to short-term sources.

③ Describe each source: what it is, its term, its security or ownership, and one reason it suits the case. Naming alone earns part of the mark.

④ Asset and funding management: the principle is balance between assets and funding. Undercapitalised: too little equity, so non-current assets cannot be updated and working capital is short. Overcapitalised: funds tied up beyond need. More investment or more of one funding source is not automatically better.

⑤ Cash and viability: cash meets debts, wages and suppliers as they fall due, so a profitable firm can still fail. Mark ladder: general comment (1), description (2), explanation (3), discussion linked to viability (4). Cash-management strategies need description: what it is, how often, who is responsible, and how it keeps enough cash without idle balances. Identifying a strategy alone earns 1 mark.

⚠ Money-market products are short-term. Ordinary shares are not a short-term source. Name-only answers lose the description marks.

2 Costing and standard-cost variances (CST)

① Classify costs on four separate dimensions that can co-occur: behaviour (fixed, variable, mixed), relation to cost object (direct, indirect), treatment (product, period), time (past, future). Past costs are already incurred; future costs support planning and budgeting. Give an example from the stem for each classification.

② Direct materials = quantity per unit × units produced × price per unit, plus sundry or packaging materials. Use units, not batches; annualise monthly activity where the question asks for an annual figure.

③ Direct labour = hours × hourly rate for each department. Convert minutes to hours (÷ 60). If only a total labour cost is given, hours = cost ÷ rate.

④ Overhead recovery rate = estimated manufacturing overhead ÷ estimated allocation base at normal capacity. Exclude selling and administrative costs. State the unit (for example dollars per machine hour).

⑤ Overhead applied = rate × actual base in the same unit. Unit cost = total batch cost ÷ batch units.

⑥ Mark-up on cost: mark-up amount = unit cost × mark-up %; selling price = unit cost × (1 + mark-up %). Example: $33.52 × 1.30 = $43.58.

⑦ Variances (actual minus standard; label F or U as a separate mark):

- Materials price = (actual price − standard price) × actual quantity.
- Materials usage = (actual quantity − standard quantity allowed) × standard price; standard quantity allowed = standard quantity per unit × units produced.
- Labour rate = (actual rate − standard rate) × actual hours.
- Labour efficiency = (actual hours − standard hours allowed) × standard rate; standard hours allowed = standard hours per unit × units produced, or standard labour cost ÷ standard rate if only the cost is given.
- Price or rate above standard = U; usage or hours above allowance = U; below = F.

⚠ Price variance uses actual quantity. Allowance uses units produced, not units sold. Reversing direction or dropping the label loses a mark. Mixing up per-batch and total figures is common.

3 Cost–volume–profit and operating decisions (CVP)

① Contribution: unit contribution = selling price − variable cost per unit; total contribution = sales revenue − total variable costs; contribution ratio = total contribution ÷ sales revenue × 100. Fixed costs and profit are never variable costs.

② Profit = (selling price − variable cost per unit) × units sold − fixed costs.

③ Product mix: mix % = product amount ÷ total of the specified base (bottles, kilometres, and so on). Weighted average contribution = sum of (contribution × mix %) across products. Apply the mix to the required total volume. Syllabus scope is up to three products.

④ Break-even units = fixed costs ÷ contribution per unit (weighted for a mix). Target profit: units = (fixed costs + target profit) ÷ contribution per unit. Revenue = units × selling price.

⑤ Margin of safety = budgeted sales − break-even units; as a percentage, ÷ budgeted sales × 100.

⑥ Special order: gain = special revenue − extra variable costs − new fixed costs − opportunity cost (regular units displaced × regular contribution per unit, where capacity is limited). Accept if the gain is positive; state the recommendation.

⑦ Make or buy: make cost = variable cost × units + fixed costs that continue if made; buy cost = supplier price × units + fixed costs that continue if bought, after any

reduction. Lower total wins; state the difference.

⑧ Closing a segment: remove its revenue and direct costs; keep allocated fixed costs that do not disappear, then recalculate what remains. Change in profit = new total profit − original total profit.

⑨ Explain cost behaviour: variable costs change in total with activity and stay constant per unit; fixed costs stay constant in total within the relevant range and fall per unit as activity rises. Link to the break-even point.

⚠ Keep fixed costs that do not change. Apply a fixed-cost reduction only to the correct option. Do not give revenue when units are asked, or the reverse.

Unexamined current content (no past questions; no frequency given): solve a CVP relationship for one unknown (selling price, variable cost, fixed costs, profit or volume), then check by substitution.

4 Budgets and performance control (BUD)

① Master budget: operating budgets (sales, purchases, expenses, cash), capital expenditure budgets, and financial budgets (budgeted income statement, budgeted balance sheet, cash budget). Budgets plan forward; they are not records of the past.

② Customer collections: credit sales = total sales × credit %; cash sales are received in the same month; collect each month's credit sales using the lag percentages; for a prompt-payment discount of 1.5%, multiply receipts by 98.5%.

③ Creditor payments: list each purchase month, then pay according to the terms (for example, part in the following month and the rest later).

④ Operating cash payments: pro-rate annual costs (÷ 12 per month, × months for longer periods); wages = annual wage × number of staff ÷ 12; interest = principal × annual rate ÷ 12; variable expenses = rate × same-month sales. Remove depreciation and loss on disposal; adjust for accrued wages.

⑤ Capital and financing cash: asset purchases are outflows in the month paid; disposals bring in sale proceeds, not cost or carrying amount; share proceeds are gross less issue costs; loans and owner contributions are inflows; drawings are outflows; loan interest is an operating payment.

⑥ Cash balance: closing = opening + receipts − payments; carry forward; show an overdraft in brackets.

⑦ Budgeted income statement (accrual basis): credit sales = receipts from debtors + discount allowed + closing debtors − opening debtors; add cash sales. Cost of sales = opening inventory + purchases − closing inventory. Wages expense = wages paid + closing accrued wages − opening accrued wages. Insurance: only the period's share of the premium. Gain on disposal = sale proceeds − carrying amount (cost − accumulated depreciation). Interest income = principal × rate × months ÷ 12. Tax at the stated rate on profit before tax.

⑧ Variances and reports: variance = actual − budget. Receipts, revenue and profit above budget = F; costs and payments above budget = U. A performance report compares actual with budget, supports control, and for each variance gives the label, a cause drawn from the case, and a management response.

⑨ Cash budget interpretation: name the month and amount of each shortage and its effect (creditors and wages unpaid, overdraft interest). A surplus is idle cash; earlier capital could avoid loan interest. Shortage actions: short-term overdraft or loan, delay non-current asset purchases, negotiate longer creditor terms. Give three distinct actions if three are asked.

⑩ Strategy: cost leadership = lower prices through cost reduction; differentiation = distinct and valued by customers, not simply a higher price. Market share is not a strategy. Planning covers goals, cost reduction and risk management.

⚠ Use accrual, not cash, for the budgeted income statement. Do not keep the full insurance premium. Do not leave depreciation in cash payments. Do not reverse F and U for cost lines.

Unexamined current content: prepare an actual-versus-budget performance report (columns for budget and actual, variance, label, comment on largest variances).

5 Capital investment appraisal (INV)

Scope: appraise by net present value (NPV) and payback only; straight-line depreciation; cash flows net of tax.

① Depreciable base = cost + capitalised costs (for example installation) − residual value. Annual depreciation = base ÷ useful life.

② Annual after-tax cash flow = (receipts − cash operating costs − depreciation) × (1 − tax rate) + depreciation. Depreciation is non-cash; add it back.

③ Timing: initial outlay at Year 0 (factor 1); a later instalment in the year it is paid; residual or salvage value in the year received. For an even annual flow, use the annuity factor for the block and check the block's position in time.

④ NPV = sum of (inflow × discount factor) − sum of (outflow × discount factor). Round to the nearest dollar at the end.

⑤ Payback: accumulate inflows until they reach the cost. Fraction = unrecovered amount at the end of the last full year ÷ next year's inflow. Convert the fraction to months (× 12) and state the answer in whole years and months.

⑥ Recommendation: state accept, reject or the chosen option; justify with the NPV (positive means proceed) and/or the payback against the required period. Refer to the workings. A decision without a calculated reason earns nothing.

⑦ Non-financial factors: consumer preferences, competition, government regulation, location. Explain the effect on this specific decision; a general comment earns 1 mark.

⑧ Concepts: capital investment means large, long-term commitments in long-lived assets. Money received later is worth less today. A higher discount rate lowers NPV; payback ignores the discount rate.

⚠ One discount factor applied to every year is wrong. Keep depreciation out of cash flows. Include every instalment and the residual value. Convert payback fractions to months.

6 Companies and the financial reporting framework (FRM)

① Company types: public company (no maximum members, at least three directors, may offer shares to the public, issues a prospectus); large proprietary company (at most 50 non-employee members, at least one director,

cannot offer shares to the public); proprietary company. Compare each characteristic across the types, with the explanation for each difference.

② Common features: separate legal entity; shareholders' liability limited to unpaid share amounts; public company shares freely transferable, while proprietary transfers follow the constitution.

③ Internal rules: a constitution sets rights and responsibilities of directors and shareholders and internal management rules. Replaceable rules are the Corporations Act 2001's default rules, applying where a company has no constitution. A company may adopt a constitution, the replaceable rules, or both.

④ Reporting entity: an entity required to, or choosing to, prepare general purpose financial reports. External users (shareholders, creditors, lenders, regulators) are outside the entity; managers, employees and directors are internal.

⑤ Objective and qualitative characteristics: general purpose reports help users make decisions. Fundamental: relevance and faithful representation (complete, neutral, free from error). Enhancing: comparability, verifiability, timeliness, understandability.

⑥ Recognition: an item is recognised as an asset only if it meets the definition and its information is relevant and reliably measurable.

⑦ Purposes of accounting standards (2 marks when described, 1 when only identified): consistent, comparable reports; protection of external users; a framework for directors to meet obligations; investor confidence and efficient capital markets.

⑧ Accountant's role: pick three functions from different areas: collecting, maintaining and checking information; analysing, advising management and monitoring controls; reporting, tax, GST and regulatory compliance.

⑨ Internal versus external reporting: differ in report types, format, accounting standards, timeliness, audit requirement and scope.

⑩ Cash versus accrual: cash accounting records receipts and payments; accrual accounting records income earned and expenses incurred in the period, whether or not cash has moved. Give two examples from the company's reports: income earned but unreceived, and expenses incurred but unpaid.

⚠ Managers are internal, not external users. A reporting entity is not defined as a legal entity. The conceptual framework does not bind every company.

7 Share capital, dividends and equity records (EQT)

① Share receipt = number of shares × issue price. On application: debit Cash at bank, credit Application. On allotment (own date): debit Application, credit Ordinary share capital. Add dated narrations.

② Ledgers: enter opening balances on the correct side first; post receipt and allotment to both accounts so that each entry has a matching entry.

③ Share issue costs: debit Share issue costs, credit Cash at bank. Transfer (debit Share capital, credit Share issue costs) only if the stem says the transfer is required. If it says not required, do not transfer.

④ Bonus issue: shares on issue = paid-up capital ÷ issue price; bonus shares = shares × bonus ratio; value bonus shares at the stated price. Debit the reserve (asset revaluation, general, or retained earnings) and credit Share capital.

⑤ Dividends: eligible shares = existing shares + bonus shares issued before the dividend date; dividend = eligible shares × rate. On declaration: debit Retained earnings, credit Dividends payable (equity falls, bank unchanged). On payment: debit Dividends payable, credit Cash at bank.

⑥ Retained earnings ledger: opening balance; profit after tax credited; dividends and transfers to general reserve debited; transfers from general reserve credited; closing balance shown with Cr or Dr.

⑦ Statement of changes in equity: columns for share capital, general reserve, asset revaluation reserve, retained earnings and total. Issue costs reduce the share capital column; revaluation gains go to the asset revaluation reserve; profit and dividends go through retained earnings; a bonus issue moves reserve funds to share capital.

⑧ Notes (share capital, reserves, property, plant and equipment, dividends): shares and issue price for each issue; closing reserve balances; each dividend with its shares and rate. Every figure must agree with the statements.

⚠ Use gross and net proceeds correctly. Use the post-bonus share count for dividends. Post declarations to retained earnings, not the bank. Do not put issue costs against retained earnings.

8 Financial statements, adjustments and notes (STM)

① Statement of comprehensive income (one-statement format): heading with company, title and exact period; sales − returns − discount allowed − cost of sales = gross result; add each income item; deduct each expense item (wages, insurance, doubtful debts, finance costs, and so on); profit before tax; tax; profit after tax; other comprehensive income (revaluation). Each item is marked separately.

② Tax: tax expense = 30% × profit before tax (taxable income is taken as profit before tax); profit after tax = profit before tax × 70%.

③ Depreciation: rate × cost (straight line) or × carrying amount (reducing balance), then × period fraction (6/12, 2/12). Closing accumulated depreciation = opening + charge − amounts removed on disposal.

④ Doubtful debts: expense = closing allowance − opening allowance + bad debts written off. Write off bad debts as debits to the allowance.

⑤ Financial position extract: receivables net of allowance; accrued income included in receivables; prepayments in other current assets; non-current assets at carrying amount; goodwill and other intangibles non-current.

⑥ Revaluation gain = specified asset value − carrying amount. Show it in other comprehensive income and add it to the asset; it must appear in both places.

⑦ Balance-day items: prepayment = asset; accrued expense = liability; accrued income = receivable; income in advance = liability. Incorporation costs are expensed.

⑧ Property, plant and equipment note: for each class show cost (plus revaluation), opening accumulated depreciation, period depreciation, closing accumulated

depreciation and carrying amount; total the classes.

⑨ Regulation: ASIC regulates and influences company reporting. For a statement question, identify each statement and outline what it tells users; identification alone earns 1 mark.

⚠ Forgetting the period fraction. Omitting opening accumulated depreciation. Showing revaluation in only one place. Treating a prepayment as a liability. Missing discount, dividend or doubtful-debt lines.

9 Statements of cash flows (CSH, direct method)

① Definitions: cash = notes and coins plus deposits available on demand. Cash equivalent = short-term, highly liquid, readily convertible to a known amount, with insignificant risk of change in value (for example a short-term term deposit). Give an example of each.

② Cash from customers = opening receivables + credit sales − sales returns − closing receivables (+ cash sales).

③ Cash to suppliers: purchases = cost of sales + closing inventory − opening inventory; payments = opening payables + purchases − closing payables. Start from cost of sales, not sales revenue.

④ Other operating payments: for a prepayment, cash paid = expense + closing prepayment − opening prepayment; for an accrual, cash paid = expense + opening accrual − closing accrual. Remove non-cash items such as depreciation first.

⑤ Interest: interest received = income + opening accrued income − closing accrued income; interest paid = expense + opening accrued interest payable − closing accrued interest payable. Where only an investment and rate are given, interest = balance × rate × time.

⑥ Income tax paid is the cash paid for the period, not the tax expense.

⑦ Asset purchases = closing cost − opening cost + cost of assets disposed of. Exclude revaluations, which are not cash.

⑧ Disposal proceeds = carrying amount ± gain or loss, where accumulated depreciation removed = opening + depreciation − closing, and carrying amount = cost − accumulated depreciation removed.

⑨ Financing: share proceeds = closing − opening share capital, with share issue costs paid shown as a separate outflow (do not net them into proceeds); borrowings = change in loan balance (repayments shown separately); dividends paid = opening retained earnings + profit − transfers to reserves − closing retained earnings.

⑩ Cash reconciliation: opening and closing totals of cash at bank, petty cash and qualifying term deposits; the change must match the net cash movement.

⑪ Benefits of cash-flow information to internal or external users: ability to meet debts, ability to generate cash, the link between profit and cash, the effect of deferred payments and receipts, assessment of operating cash flow. Each benefit needs a separate explanation.

⑫ Interpreting categories: describe the change from opening to closing cash, including any move into overdraft; state the sign of operating, investing and financing totals; test operating inflow against dividends; analyse loan repayments, dividends, share proceeds and overdrafts.

⚠ Adding closing debtors instead of subtracting them. Using sales instead of cost of sales. Reversing accrual adjustments. Treating share issue costs as part of share proceeds. Including GST.

10 Financial ratios and reporting analysis (RAT)

① Liquidity: current ratio = current assets ÷ current liabilities. Quick ratio = (current assets − inventory − prepayments) ÷ current liabilities.

② Efficiency: average balance = (opening + closing) ÷ 2. Debtors' collection period = average receivables ÷ net credit sales × 365. Inventory turnover = cost of sales ÷ average inventory (times per year).

③ Profitability: return on assets = (operating profit + interest expense) ÷ average total assets × 100 (%). Times interest earned = operating profit ÷ interest expense.

④ Stability: debt-to-equity = total liabilities ÷ closing equity. Where equity is not given, equity = total assets − total liabilities at the same date.

⑤ Market: weighted average shares = sum of (shares × months outstanding ÷ 12). Earnings per share (cents) = profit after tax ÷ weighted average shares × 100. Price-to-earnings = market price ÷ earnings per share, in the same unit. Dividend yield = dividend per share ÷ market price, in the same unit.

⑥ Presentation: two decimal places. Do not apply GST.

⑦ Interpretation: quote the figures, compare with the prior year or the benchmark, explain the effect on this company (cash tied up in receivables or stock, cover for short-term debt, interest burden, investor appeal) and conclude.

⑧ Transaction effects: trace each effect into the numerator and denominator. Example: an accrued expense raises liabilities and lowers profit, so it lowers earnings per share.

⑨ Limitations (explain each and link it to the decision): historical cost, accounting policy choices, a single-year snapshot, limited non-financial information, lack of comparability between entities, lack of disclosure.

⚠ Averages need opening and closing balances, not one date. Quick ratio needs current liabilities, not total liabilities. Use the weighted share count. Keep dollars and cents consistent. Do not use opening equity for debt-to-equity.

11 Regulation, audit, ethics and sustainability (GOV)

① Reporting bodies: ASIC (Australian Securities and Investments Commission) regulates and enforces company law and reporting; AASB (Australian Accounting Standards Board) sets Australian accounting standards; IASB (International Accounting Standards Board) and ISSB (International Sustainability Standards Board) set international standards; ASX (Australian Securities Exchange) runs the market and its listing rules. Keep the AASB (standards) and ASIC (regulation) separate.

② Director duties: care and diligence; act honestly in the company's best interests; do not misuse position or information; disclose conflicts of interest; prevent insolvent trading; keep adequate financial records. Identify each duty, describe it, and apply it to the named company.

③ Shareholder rights: attend, speak and vote in proportion to holdings; receive audited annual reports; receive dividends as determined by directors; dispose of

shares; ask a court to inspect records; receive repayment of capital after creditors in liquidation.

④ Internal audit: reviews records, procedures, policies and systems to find errors, weaknesses and deficiencies and recommend improvements. Controls to describe: reconciliations that compare records, authorisation before transactions. Issues an audit can reveal: theft, collusion, unreconciled balances, unauthorised spending.

⑤ External audit: an independent auditor, separate from management, gives an opinion on whether the statements are true and fair in all material respects. Users (shareholders, investors, lenders, suppliers) rely on it for decisions and confidence in capital markets.

⑥ Ethics: unfair employee compensation, breaches of confidentiality, misrepresentation of financial data, conflicts of interest with employees, clients or investors. Each needs a consequence for investors, creditors, employees or the company.

⑦ Insolvency is the inability to pay debts when they fall due; it concerns timing, not low profit. Order of payment in the source key: employee wages and retrenchment pay first, then unsecured creditors, then shareholders.

⑧ Voluntary administration: an administrator is appointed (state who may appoint under the Act) to investigate the company's difficulties; state the purpose for the company and creditors.

⑨ Receivership and liquidation: a receiver, appointed for a secured creditor, realises the secured assets to repay that debt. Liquidation winds up the company: creditors' claims are assessed, assets are realised and proceeds paid in the order above.

⑩ Discussion ladder: general comment (1), description (2), explanation (3), discussion linked to the company (4).

Unexamined current content (no past questions; no frequency given): climate-related physical and transition risks and opportunities; Scope 1, 2 and 3 greenhouse-gas emissions; the four AASB S2 disclosure pillars (governance, strategy, risk management, metrics and targets); interpreting sustainability reports for greenwashing (overstated environmental claims) and bluewashing (overstated ocean or marine claims), by checking the claim against its evidence.

⚠ Do not write that ASIC sets accounting standards. Do not treat the framework as binding on all companies. Do not list internal users as external.

12 Removed from the current syllabus

Historical only. Do not study for the current examination.

- Corporate social-disclosure requirements: extent and nature, use by users, production difficulties, critical evaluation (historical content, OUT1).
- Costs and potential income of socially or environmentally responsible practices (OUT2).
- Standalone annual-report and KPI purposes (OUT3).
- Reporting bodies outside the current list, such as the Financial Reporting Council and lobby groups (OUT4).
- Specifically superseded financing notes and trust products (OUT5).
- Recommendation-only dividend treatment (OUT6).
- Appointment and reappointment mechanics for external auditors, and the separate annual-report item naming stock-exchange data.
- Cancelled 2021 administrative item (historical record only; carries no EPS mastery evidence and is excluded from current content).